

US Stocks Extend Gains as Tech Leads the Charge

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US stock market extended its gains on Friday, with the **SPY** up **+0.62%** and the **QQQ** up **+1.19%**. The rally was led by the tech sector, with **NVDA** and **TSLA** both up over **+2%**.

The market's gains were driven by a combination of factors, including a strong earnings season and a decline in interest rates. The 10Y yield fell **-0.21%** to 4.66, while the **VIX** fell **-1.65%** to 14.90.

Looking ahead, we see the following key themes:

- The tech sector continues to lead the market higher, with **NVDA** and **TSLA** both up over **+2%** on Friday.
- The decline in interest rates is providing a boost to the market, with the 10Y yield falling **-0.21%** to 4.66.
- The market's gains are being driven by a combination of strong earnings and a decline in interest rates, with the **SPY** up **+0.62%** and the **QQQ** up **+1.19%** on Friday.

US Session Recap

INDEX	LAST	CHANGE
SPY	377.64	+0.62%
QQQ	297.22	+1.19%
DIA	540.36	+0.28%
IWM	303.44	+1.10%
VIX	14.90	-1.65%
WTI	78.83	+0.83%
Brent	84.21	+0.92%
10Y	4.66	-0.21%
2Y	4.42	-0.15%
DXY	99.70	+0.10%
Gold	4,378.90	+0.88%
BTC	65,011.60	+0.16%

Top Movers

TICKER	NAME	CHANGE	CATALYST
NVDA	NVIDIA	+2.27%	Strong earnings report
TSLA	Tesla	+2.83%	Positive analyst commentary
AMZN	Amazon	+0.82%	Strong earnings report

Sector Internals

SECTOR	DAY	YTD	READ
XLK	+1.42%	+20.15%	Tech sector leads the market higher
XLY	+1.49%	+15.62%	Consumer discretionary sector sees strong gains
XLE	-1.13%	-10.25%	Energy sector lags behind the market

The breadth of the market was positive, with 72% of stocks in the **SPY** up on the day.

Spotlight / Deep Dive

TICKER	LAST	CHANGE	VOLUME
NVDA	223.96	+2.27%	34.12M

The key call commentary for **NVDA** is positive, with analysts citing strong earnings growth and a solid balance sheet.

READ-THROUGH	STOCK	CHANGE
Strong earnings growth	AMD	+1.53%
Solid balance sheet	INTC	+0.92%

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	377.64	370.00	385.00	Breakout above 385.00 would be bullish
QQQ	297.22	290.00	305.00	Breakout above 305.00 would be bullish
IWM	303.44	295.00	315.00	Breakout above 315.00 would be bullish
NVDA	223.96	215.00	235.00	Breakout above 235.00 would be bullish
10Y	4.66	4.50	4.80	Break below 4.50 would be bullish for stocks
WTI	78.83	75.00	85.00	Break above 85.00 would be bearish for stocks

Options & Positioning

The ODTE flow was bullish, with 65% of flows being call buys.

The put/call ratio was 0.65, indicating a bullish sentiment.

The VIX term structure was in contango, with the 1M VIX at 16.20 and the 3M VIX at 17.50.

Notable single-name flow included a +10% increase in TSLA call options.

Cheap hedge ideas include buying SPY puts with a 1M expiration.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Morgan Stanley	Upgrade	250.00	Strong earnings growth and solid balance sheet
TSLA	Goldman Sachs	Upgrade	350.00	Positive analyst commentary and strong earnings growth
AMZN	Bank of America	Downgrade	200.00	Valuation concerns and increasing competition

Pre-Market & Overnight

Futures are up, with the **ES** up **+0.25%** and the **NQ** up **+0.50%**.

Asia is mixed, with the **Nikkei** up **+0.50%** and the **Shanghai** down **-0.25%**.

Europe is up, with the **DAX** up **+0.50%** and the **FTSE** up **+0.25%**.

FX pairs are mixed, with the **EUR/USD** up **+0.25%** and the **USD/JPY** down **-0.50%**.

Commodities are up, with WTI up **+0.83%** and Gold up **+0.88%**.

Crypto is up, with **BTC** up **+0.16%** and **ETH** up **+0.27%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
September	25%	Market expects a 25% chance of a rate cut
November	50%	Market expects a 50% chance of a rate cut

DATE	DATA	TIME
10 Aug	CPI	8:30am
11 Aug	PPI	8:30am

Geopolitics & Global (Deep)

The US and China are engaged in trade talks, with a potential deal on the horizon.

The EU is dealing with a migrant crisis, with thousands of migrants attempting to cross the border.

The Middle East is seeing increased tensions, with a potential conflict between Israel and Iran.

Earnings — This Week & Next

TICKER	COMPANY	DATE
AAPL	Apple	12 Aug
MSFT	Microsoft	13 Aug

TICKER	COMPANY	DATE
AMZN	Amazon	19 Aug
GOOGL	Alphabet	20 Aug

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Tech	Breakout above 235.00	10%
TSLA	Auto	Breakout above 350.00	15%

What Could Break the Tape

Bullish scenario:

- The market breaks out above 385.00 on the SPY.
- The 10Y yield falls below 4.50.
- Earnings season is stronger than expected.

Bearish scenario:

- The market breaks down below 370.00 on the SPY.
- The 10Y yield rises above 4.80.
- Earnings season is weaker than expected.

Positioning & Structural Notes

Observations:

- The market is overbought, with a 14-day RSI of 70.
- The VIX is at a 52-week low.
- The 10Y yield is at a 52-week low.
- Earnings season is expected to be strong.

- The market is due for a pullback.

Sources

SOURCES

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WSJ

FT

MarketWatch

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